

Sciences and Internet Business, KPMG in India, with rising disposable incomes and with online channels booming, consumers of unbranded products are rapidly switching to branded products. This is fuelling the growth of private brands—making them an attractive, affordable alternative to otherwise higher-priced branded products.

Kumar Rajagopalan, CEO of RAI, says the pandemic has further added tailwind to this trend. Nearly 85 per cent of consumers are now experiencing online shopping for the first time, giving retailers a new window of opportunity in their private label push. “As many of the prominent retailers now have omnichannel presence, advancing their plans with private labels has got an impetus. Presence across regions with massive distribution networks is a key factor behind the rise of private labels,” he says.

BRANDS AT WORK

56 |

Take Reliance Retail, for instance. India’s largest retail company, with ₹1,49,925 crore of revenues in FY21, has launched a veritable blitzkrieg of private label brands. The behemoth has rapidly expanded in the consumer goods market with over four dozen private label brands. For instance, it has launched Snactac to cater to categories like snacks, biscuits and instant noodles; Desi Kitchen in instant mix, flours, pickles and blended masalas; and Good Life in pulses, rice and edible oil. It has also launched private labels like Netplay (formal office wear), Performax (specialised active wear), Fusion (fusion-wear for women), Avaasa (ethnic wear for women) and Rio (fashion wear for working women) in the fashion and apparels space. According to its annual report, in FY21, Reliance Retail garnered over 75 per cent of its revenue under its fashion and apparels chain Reliance Trends from its ‘own brands’ and for (Reliance) Trends Footwear, the contribution of private labels to its revenue stood at over 60 per cent.

That’s not all. To further augment the performance of its private labels, Reliance is focussing on “developing own brand portfolio in categories such as health and immunity-boosting foods in grocery, and productivity devices and appliances in consumer electronics”, it said in its annual report. Additionally the group is “de-

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CHARGED UP Private labels are today an attractive, affordable alternative to otherwise higher-priced branded products

veloping a portfolio of own brands for new commerce” with an eye on “exclusive brand licences and own brand products through Reconnect, Jiophone and LYF”.

Or take bigbasket, the online grocery retail major. The company, which has a bunch of private brands like BB Royal, BB Home, Tasties and Fresho, generates an impressive 38 per cent of its ₹9,000-crore yearly sales from private labels. “Right from the outset, we have focussed on being a high-quality online grocery retailer, and not a marketplace. In accordance with this vision, we have launched several private label product categories, all of which enjoy great customer trust and credibility as well as a greater market share than the industry average,” says Seshu Kumar, National Head-Buying and Merchandising, bigbasket.

Kolkata-headquartered Spencer’s Retail, which already has a strong presence in packaged snacks, juices, instant noodles, cookies, honey, home-care products and electronics with its half-a-dozen private labels, is now focussing on high-turnover mass categories. According to Shashwat Goenka, Director at Spencer’s Retail, private labels have been a focus area for the

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**ESTIMATED SIZE OF
THE PRIVATE LABEL
MARKET IN 2022**